

# Chapter 6 - International Parity Conditions

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2026-04-19

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## 1 Introduction

### 1.1 Prices and Exchange Rates

#### 1.1.1 Law of One Price

#### 1.1.2 Purchasing Power Parity

### 1.2 Interest Rates and Exchange Rates

#### 1.2.1 Fisher Effect

#### 1.2.2 International Fisher Effect

### 1.3 Forward Rate as an Unbiased Predictor

### 1.4 Prices, Interest Rates, and Exchange Rates in Equilibrium